(14)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

CA(CAA)/69(CHE)2022

GENERAL WOOD INDUSTRIES PRIVATE LIMITED
CIN NO: U20293TN1991PTC021622
No.3/140, IT Highway,
Oggiam Thoraipakkam,
Chennai – 600 097
Represented by its Director, Mr.Trivellore Thattai Varadarajan

... Applicant / Transferor Company

And

MAYA APPLIANCES PRIVATE LIMITED
CIN NO: U28931TN1995PTC029798
Royal Enclave,
Old No.7, New No.10/5,
Besant Avenue, Adyar
Chennai – 600 020
Represented by its Director, Mr.Vijay Srinivasan

... Applicant/ Transferee Company

And

Their Respective Shareholders and Creditors

Order Pronounced on ***29th November 2022***

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JUSTICE (RETD.) RAMALINGAM SUDHAKAR, PRESIDENT
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s):Gaurav Chatterjee, Advocate

ORDER

Per: **JUSTICE (RETD.) RAMALINGAM SUDHAKAR, PRESIDENT**

This is a Joint Company Application Viz., CA(CAA)/69(CHE)/2022 filed by the Applicant Companies, namely **GENERAL WOOD INDUSTRIES PRIVATE LIMITED** (for brevity "Transferor Company") and **MAYA APPLIANCES PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies. The said Scheme is also appended as "Annexure – A1" to the CA/CAA/69 (CHE) 2022.

2. The Applicant Companies in this Company Application has sought for the following reliefs;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY	To Dispense with	NIL	To Dispense with
TRANSFEREE COMPANY	To Dispense with	To Dispense with	To order Meeting

3. From the certificate of incorporation filed, it is evident that the Transferor Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 31.10.1991. The Authorized, issued and Paid-up share capital of the Transferor Company as on 30.06.2022 is as under:

Particular	Rupees (INR)
Authorized Share Capital	
40,000 equity shares of Rs.100/- each	40,00,000
Issued, Subscribed and Paid-up Share Capital	
24,000 equity shares of Rs.100/- each	24,00,000

4. From the certificate of incorporation filed, it is evident that the Transferee Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 10.01.1995.The Authorized, issued, Subscribed and paid up share capital of the Transferee Company as on 30.06.2022 is as under:

Particular	Rupees (INR)
Authorized Share Capital	
5,00,000 equity shares of Rs.100/- each	5,00,00,000/-
Issued, Subscribed and Paid-up Share Capital	
464,800 equity shares of Rs.100/- each fully paid up	4,64,80,000/-

5. Affidavit in support of the above application was sworn for and behalf of the applicant Companies has been filed by Mr. Trivellore Thattai Varadarajan in the capacity of Director/ Authorised Signatory for the Transferor Company and by one Mr. Vijay Srinivasan in the capacity of Director/ Authorised Signatory for the Transferee Company along with the application and it is also represented that the Registered office of the Transferor Company is situated at No.3/140, IT Highway, Oggiam Thoraipakkam, Chennai- 600 097 and the Registered office of the Transferee Company is situated at Royal Enclave, Old No.7, New No.10/5, Besant Avenue, Adyar, Chennai- 600 020 within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of Registrar of Companies, Chennai.

6. **GENERAL WOOD INDUSTRIES PRIVATE LIMITED**
TRANSFEROR COMPANY

(i) There are 2 (Two) Equity Shareholders and list of shareholders to this effect is placed at page Nos 166 of the typed set filed with the application and consent by way of Affidavits given by both the equity shareholders is placed at Page Nos.167 to 170 and sought for dispensation with holding of meeting.

(ii) There are NIL Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No. 180 of the typed set filed along with

the Application. Hence the necessity of Convening, holding and conducting the meeting does not arise.

(iii) There are 3 (Three) Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at Page Nos. 181 to 182 of the typed set filed with the application and the consent Affidavits given by all the unsecured creditors Constituting 100% of the total value of credit have been obtained are placed at Page Nos. 183 to 188 of the typed set filed along with the Application and sought for dispensation with holding of meeting.

7. **MAYA APPLIANCES PRIVATE LIMITED**
TRANSFEREE COMPANY

(i) There are 4 (Four) Equity Shareholders and the list of shareholders to this effect is placed at Page Nos. 171 of the typed set filed with the application and consent by way of Affidavits given by all the equity shareholders is placed at Page Nos.172 to 179 and sought for dispensation with holding of meeting.

(ii) There are 2 (Two) Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No.190 of the typed set filed along with the Application and consent by way of Affidavit given by the both the Secured Creditors is placed at Page Nos.191 to 198 and sought for dispensation with holding of meeting.

(iii) There are 336 (Three Hundred and Thirty Six) Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at Page Nos. 199 to 217 of the typed set filed with the application and sought for Convening, Holding and Conducting of the meeting.

8. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

9. The Applicant Companies has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Annual Accounts for the year ended 31.03.2021 and Provisional Financial Statements for the period ended on 31.03.2022. Further the Learned Counsel for the Applicant Companies filed a memo dated 01.11.2022 vide S.R.No.5863 attaching the Provisional Financial Statements as on 30.06.2022 of the applicant companies and thereby further explaining the position of creditors of the said Provisional Financial Statements as on 30.06.2022. Accordingly, the above said memo is taken on record.

10. The Board of Directors of the Applicant Companies vide meeting held on 25th July 2022 had unanimously approved the proposed Scheme as contemplated above and copies of resolutions

passed thereon have been placed on record by the applicant companies.

11. The Appointed date as specified in the Scheme is 01.04.2022.

12. The Statutory Auditors of the Transferor and Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013.The said Certificates of the Statutory Auditors in this regard is placed at "Annexure A19a & Annexure A19b" of the Applicant Companies typed set of Documents filed along with the application.

13. Taking into consideration the application filed by the Applicant Company and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions: -

A. IN RELATION TO THE TRANSFEROR COMPANY:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company that there are 2 Equity shareholders in the Company whose consents by way of Affidavits have been obtained from both the equity shareholders and are placed on record, the necessity of

convening, holding and conducting the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company that there is NIL Secured Creditor in the Company, hence the necessity of Convening, holding and conducting a meeting ***does not arise***.

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company that there are 3 Unsecured Creditors in the Company and the consent Affidavits obtained from unsecured creditors constituting 100% of the total value of credit having been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

B. IN RELATION TO THE TRANSFEREE COMPANY:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferee Company that there 4 Equity shareholders in the Company whose consents by way of Affidavits have been obtained from all the equity shareholders and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferee Company that there are two secured Creditors in the Company whose consents by way of Affidavits have been obtained from both the Secured

Creditors and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

(iii) **With respect to Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Transferee Company is directed to be held on **08.01.2023 at 12:00 PM** at the Registered Office address of the transferor Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

14. The quorum for the meeting of the Transferee Company shall be as follows;

S.No	Class	Quorum
1	Unsecured Creditors	80

i) The Chairperson appointed for the above said meetings shall be **Mr.R.Rajesh,** *Advocate (Mob: 9884313220).*The Fee of the Chairperson for the aforesaid meeting shall be ***Rs.50,000 (Rupees Fifty Thousand only)*** in addition to meeting his incidental expenses.

ii) **Ms.Pavithra Sundararajan,** Advocate, *(Mob:95662 10824)* is appointed as a Scrutinizer and would be entitled to fee of ***Rs. 40,000 (Rupees Forty Thousand only)*** for services in addition to meeting incidental expenses. The Chairperson(s) will file the reports of the meeting within a week from the date of holding of the above said meetings

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy

shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily *"Business Standard"* (All India Edition), and *"Dina Malar" Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, Registrar of Companies Chennai, Official Liquidator and the Income Tax Authorities, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

15. The Applications stand **allowed** on the aforesaid terms.

- Sd -

SAMEER KAKAR
MEMBER (TECHNICAL)

- Sd -

JUSTICE RAMALINGAM SUDHAKAR
PRESIDENT

SriramAnanth.V